

Chapter 4:

Managing Marketing Information

to Gain Customer Insights

Marketing Information and Customer Insights

Customer insights

- Customer insights are fresh marketing information-based understandings of customers and the marketplace that become the basis for creating customer value, engagement, and relationships.
- Fresh and deep insights into customer needs and wants
- Important but difficult to obtain
 - Needs and buying motives not obvious
 - Customers usually can't tell you what and why they buy a product

Marketing Information and Customer Insights

Managing Marketing Information

- Companies are forming **customer insights teams**
 - Include all company functional areas
 - Collect information from a wide variety of sources
 - Use insights to create more value for their customers



Marketing Information and Customer Insights

Managing Marketing Information

Marketing information system (MIS) refers to the people and procedures dedicated to assessing information needs, developing the needed information, and helping decision makers to use the information to generate and validate actionable customer and market insights.



Marketing Information and Customer Insights

Managing Marketing Information

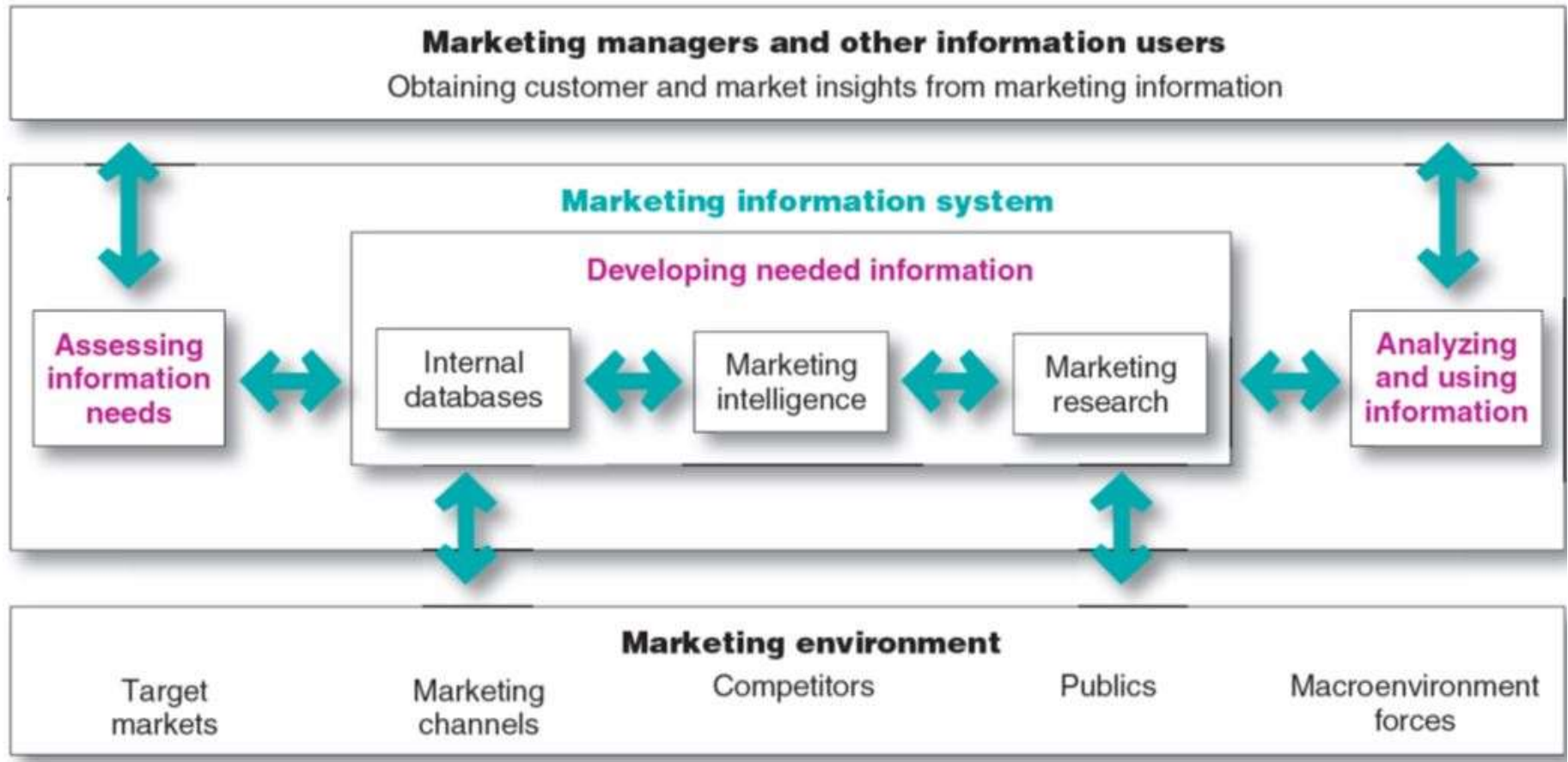


FIGURE | 4.1 The Marketing Information System

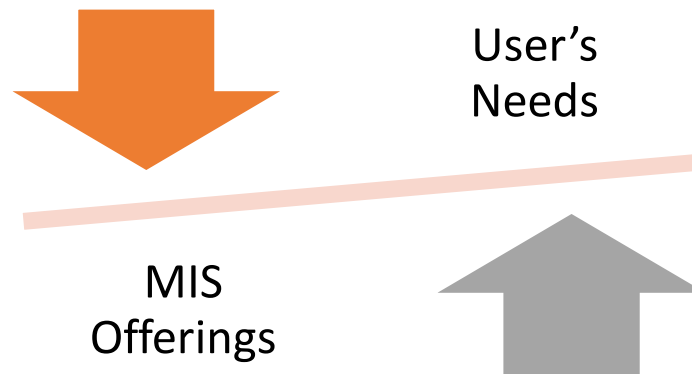
Assessing Marketing Information Needs

A marketing information system (MIS) provides information to the company's marketing and other managers and external partners such as suppliers, resellers, and marketing service agencies.

Assessing Marketing Information Needs

Characteristics of a Good MIS

- Balancing the information users would like to have against what they need and what is feasible to offer



Developing Marketing Information

Marketers obtain information from

Internal data

Marketing intelligence

Marketing research

Developing Marketing Information

Internal Data

Internal databases are collections of consumer and market information obtained from data sources within the company network.

Sales

Finance

Marketing

Human resource

Developing Marketing Information

Marketing Intelligence

Marketing intelligence is the systematic collection and analysis of publicly available information about consumers, competitors, and developments in the marketing environment.

- Commercial databases
- Business newspapers
- Chamber of commerce directories
- Networking
- Exhibitions

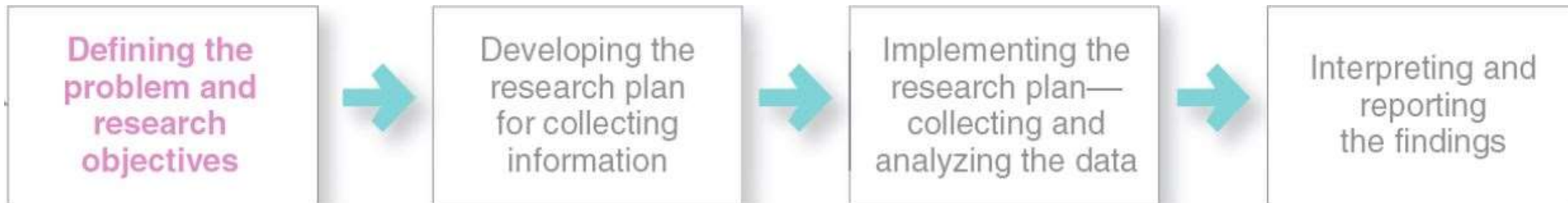
Marketing Research

Marketing research is the systematic design, collection, analysis, and reporting of data relevant to a specific marketing situation facing an organization.

Marketing Research

Steps in the Marketing Research Process

The Marketing Research Process



Defining the Problem and Research Objectives

Exploratory research(define problem through information)

Descriptive research (Describe the things such as market potential for a product)

Causal research (cause and effect relationship)

Developing the Research Plan

- Outlines sources of existing data (Secondary, Primary)
- Identify specific research approaches (Observational, Survey, Ethnographic, Experimental)
- Contact methods (Mail, Telephone, Personal , online)
- Sampling plans (Probability, non-probability)
- Instruments to gather data (Questionnaire, interviews, focus group)

Marketing Research

Developing the Research Plan

Secondary data is information that already exists somewhere, having been collected for another purpose.

Primary data is information collected for the specific purpose at hand.

Gathering Secondary Data

Advantages

Lower cost

Obtained quickly

Cannot collect otherwise

Disadvantages
- data may not be

Relevant

Accurate

Current

Impartial

Primary Data Collection

Research Approaches

Contact Methods

Sampling Plan

Research Instruments

Primary Data Collection

Research Approaches

Observational research involves gathering primary data by observing relevant people, actions, and situations.

Ethnographic research involves sending trained observers to watch and interact with consumers in their “natural environments.”

Primary Data Collection

Research Approaches

Survey research involves gathering primary data by asking people questions about their knowledge, attitudes, preferences, and buying behavior.

Experimental research involves gathering primary data by selecting matched groups of subjects, giving them different treatments, controlling related factors, and checking for differences in group responses.

Contact Methods

- Mail
- Telephone
- Personal
- Online

Primary Data Collection

Research Instruments—Questionnaires

- Most common
- In person, by phone, or online
- Flexible
- Researchers must be careful with wording and ordering of questions
 - Closed-ended
 - Open-ended
- Useful in exploratory research

Primary Data Collection

Focus Group – Personal Contact Method

- Six to 10 people
- Trained moderator
- Challenges
 - Expensive
 - Difficult to generalize from small group
 - Consumers not always open and honest



● New focus group environments: Lexus USA general manager Mark Templin hosts “An Evening with Lexus” dinners with luxury car buyers to figure out why they did or didn’t become Lexus owners.

Courtesy of Lexus

Primary Data Collection

Online Contact Methods

Advantages

- Low cost
- Speed
- Higher response rates
- Good for hard to reach groups

Marketing Research

Primary Data Collection

Sampling Plan

A **sample** is a segment of the population selected for marketing research to represent the population as a whole.

- Who is to be studied?
- How many people should be studied?
- How should the people be chosen?

Primary Data Collection

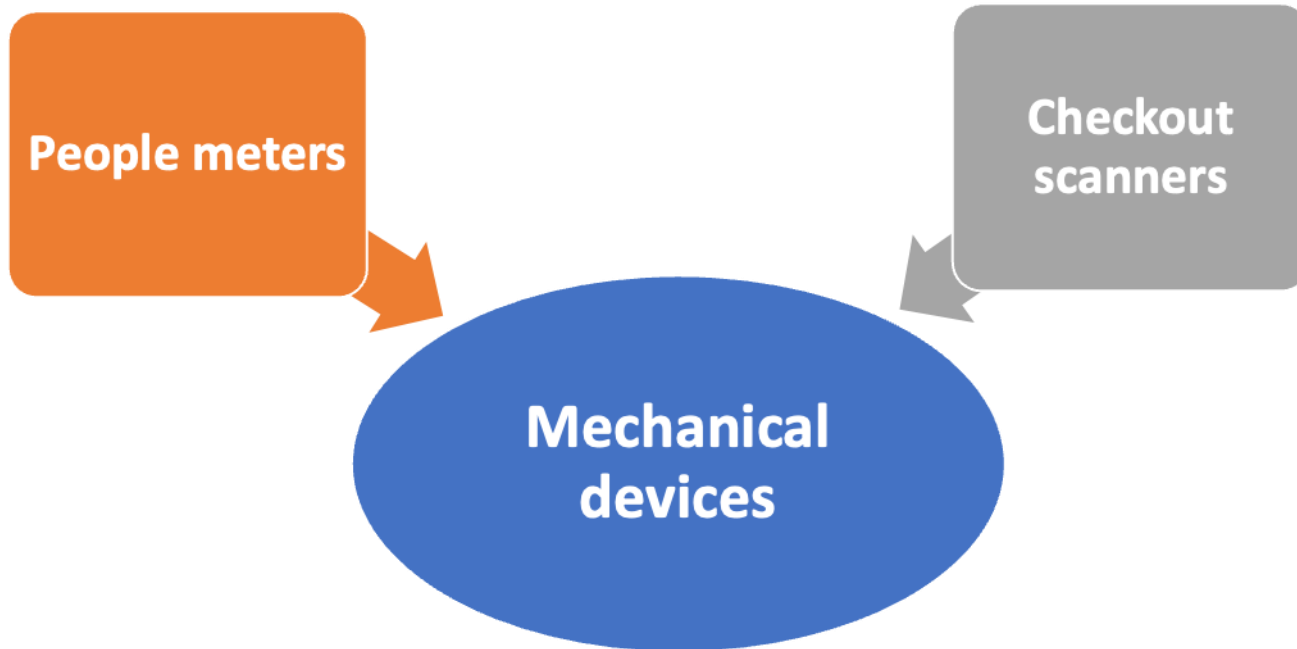
Sampling Plan – Types of Samples

Probability Sample	
Simple random sample	Every member of the population has a known and equal chance of selection.
Stratified random sample	The population is divided into mutually exclusive groups and random samples are drawn from each group.
Cluster (area) sample	The population is divided into mutually exclusive groups and the researcher draws a sample from selected clusters.
Nonprobability Sample	
Convenience sample	The researcher selects the easiest population members.
Judgment sample	The researcher uses their judgment to select population members.
Quota sample	The researcher finds and interviews a prescribed number of people in each of several categories.

Marketing Research

Primary Data Collection

Mechanical Research Instruments



Marketing Research

Implementing the Research Plan

- **Collecting the information**
- **Processing the information**
- **Analyzing the information**

Interpreting and Reporting Findings

- **Interpret findings**
- **Draw conclusions**
- **Report to management**

Analyzing and Using Marketing Information

Customer Relationship Management (CRM)

CRM involves managing detailed information about individual customers and carefully managing customer touch points to maximize customer loyalty.